

Price Change from Issue Price to Low up to July 1947	"Straight" Issues (number of issues)	Convertible and Participating Issues
No decline	7	0
Declined 0-10%	16	2
10-20%	11	6
20-40%	3	22
40% or more	0	12
	37	42
Average decline	About 9%	About 30%

A comparable presentation is difficult to make for the years 1967-1970, because there were virtually no new offerings of nonconvertibles in those years. But it is easy to demonstrate that the average price decline of convertible preferred stocks from December 1967 to December 1970 was greater than that for common stocks as a whole (which lost only 5%). Also the convertibles seem to have done quite a bit worse than the older straight preferred shares during the period December 1968 to December 1970, as is shown by the sample of 20 issues of each kind in Table 16-2. These comparisons would demonstrate that convertible securities as a whole have relatively poor quality as senior issues and also are tied to common stocks that do worse than the general market except during a speculative upsurge. These observations do not apply to all convertible issues, of course. In the 1968 and 1969 particularly, a fair number of strong companies used convertible issues to combat the inordinately high interest rates for even first-quality bonds. But it is noteworthy that in our 20-stock sample of convertible preferreds only one showed an advance and 14 suffered bad declines.*

TABLE 16-2 Price Record of Preferred Stocks, Common Stocks, and Warrants, December 1970 versus December 1968
(Based on Random Samples of 20 Issues Each)